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Asia Tech Hardware

Asia Tech Hardware: 1Q26 PCB market update & Unimicron model update


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PCB/substrate stocks have rallied sharply YTD 2026, driven by rising content in AI servers and expectations of ASP hikes this year. Following our primer Artificial Intelligence: Inside the War for AI Data Center Connectivity, we update 1Q26 PCB market view and Unimicron model.

In 1Q26, sampled AI PCB companies combined delivered +38% YoY and +8% QoQ revenue growth. Key AI-exposed players (Unimicron, Ibiden, VGT, WUS, GCE) saw decent revenue expansion. With a lower base compared to peers, gross margin of Unimicron and Nan Ya PCB continued improving thanks to strong ABF pricing environment and better product mix. New suppliers in AI PCB market including Delton (focusing on CPU motherboard) and Zhen Ding (focusing on consumer electronics) are also scaling AI exposure this year. **ABF substrate revenue growth accelerated to 40% YoY in 1Q26**, and is about to surpass the previous peak in 4Q22 peak. We anticipate strong growth ahead as driven by the volume and price increases.

Raw material tightness should persist through 2026, supporting strong pricing environment for the overall PCB market. Following the price hikes of T-glass, CCL and copper foil, ABF film cost are also reported to rise in 2H26. Some CPUs are adopting T-glass from second-source suppliers, per our channel check, but we assume limited GPU/ASIC adoption of tier-2 suppliers by end-2026. ABF substrate capacity additions are accelerating as AI demand visibility improves over the next two years.

For Unimicron (OP), we revise 2027 estimates and roll forward to 2028. We estimate ABF substrate ASP increased 5% QoQ in 1Q26 and will accelerate to 7-10% QoQ through 2026 driven by a ~30% raw material cost hike from 2Q and a richer high-end ABF mix. AI ABF +HDI should reach half of company revenue going forward, supporting a 30% revenue CAGR in 2025-28E. **We model EPS to more than triple to NT$14 in 2026, then grow ~80% in 2027 and ~45% in 2028 to NT$36.6.** We assume a more gradual margin recovery vs. consensus, with GM reaching ~35% by end-2028, and do not factor in a "shortage-driven" margin spike next year. lower 2027–28 EPS than the Street, we see sequential profitability improvement on growing AI and CPU demand. We maintain a 32x P/E on 2027–28 avg. EPS of NT$30.8 (vs. old 2027 EPS of NT$19.1), raising PT to NT$990 (from NT$610). **Outperform.**

For Ibiden (OP), while we are reviewing model updates post a strong quarter guidance, we continue to believe the strong position in AI accelerator, server CPU, and EMIB-T will generate strong revenue and profit growth.

For Ajinomoto (MP), both revenue and business profit growth beat our expectation in the Mar-Q, at +42% & 56% respectively. While operational leverage remained depressed at 1.3x, we expect this to bounce back to c. 1.7x from Q1 onward, and we expect revenues to maintain their c. 30% growth run rate. They have also announced a new capacity expansion plan to build a 3rd ABF film factory by 2032.

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BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	14 May 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Reported EPS 2025A	2026E	2027E	Reported P/E (x) 2025A	2026E	2027E
3037.TT (Unimicron)	O	TWD	881.00	**990.00**	724.0%	TWD	4.36	**14.06**	**25.10**	202.0	62.7	35.1
OLD				610.00				11.78	19.13			
2802.JP (Ajinomoto)	M	JPY	5,542.00	5,100.00	25.1%	JPY	270,077	323,727	366,031	21.5	17.9	15.9
4062.JP (Ibiden)	O	JPY	16,960	9,200.00	522.1%	JPY	151.51	238.90	330.73	111.9	71.0	51.3
ASIAX			1,965.26									
JPL			2,548.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

2802.JP estimate is EBITDA (M); 2802.JP valuation is EV/EBITDA (x); 2802.JP base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Unimicron **Outperform** , with PT = **NT$990.00** (model).

We rate Ibiden **Outperform**, with PT = ¥9,200.00.

We rate Ajinomoto **Market-Perform** with PT at **JPY5,100** (model).

DETAILS

PCB MARKET UPDATE

The AI PCB and ABF substrate market continues the strong momentum in 1Q26, driven by accelerating AI server shipments. Strong demand from data center and networking segments continues to offset weakness in legacy automotive and industrial markets. Leading suppliers with high exposure to AI theme (e.g., **Unimicron, Ibiden, Victory Giant, Gold Circuit** etc.) saw rapid revenue growth and QoQ margin improvement; Others players like **Kinsus** and **Nan Ya PCB**, though with less AI PCB exposure, are also riding upcycle driven by AI's spillover effect and surging CPU demand. **Delton Tech**, a key supplier for CPU motherboard, is also expanding its exposure to AI server starting from China market. Further upside is expected as long-term pricing agreements take effect. **Zhen Ding,** the largest PCB supplier globally focusing on consumer electronics, also saw its IC substrate & networking PCB revenue exposure rose to 20% in 1Q26, from 11% in 1Q25. (All stocks mentioned are not covered except for Unimicron and Ibiden.)

Looking ahead, the industry is entering an aggressive capex cycle focused on high-end capacity expansion and geographic diversification. Chinese MLPCB and HDI companies including VGT, WUS, Delton are scaling advanced production in China while accelerating overseas capacity in Southeast Asia to mitigate geopolitical risks. Taiwanese suppliers are also accelerating capacity expansion on ABF substrate and PCB for AI use. Unimicron has guided NT$34bn of capex (+33% YoY) in 2026; Kinsus has guided 31%/25% of YoY capex growth, reaching NT$8bn/NT$10bn in 2026/2027; Gold Circuit has guided NT17bn+ capex in 2026 (up 100%+ YoY).

Tight supply of raw materials including T-glass, high-end CCL and copper foil is likely to remain till the end of this year, which indirectly supports a strong pricing environment for the overall PCB market. Notably, the upstream CCL has experienced multiple price adjustments since 2025, and it is reported that ABF film will likely initiate price hikes in 2H2026.

For more discussion on PCB market, please find details in Artificial Intelligence: Inside the War for AI Data Center Connectivity

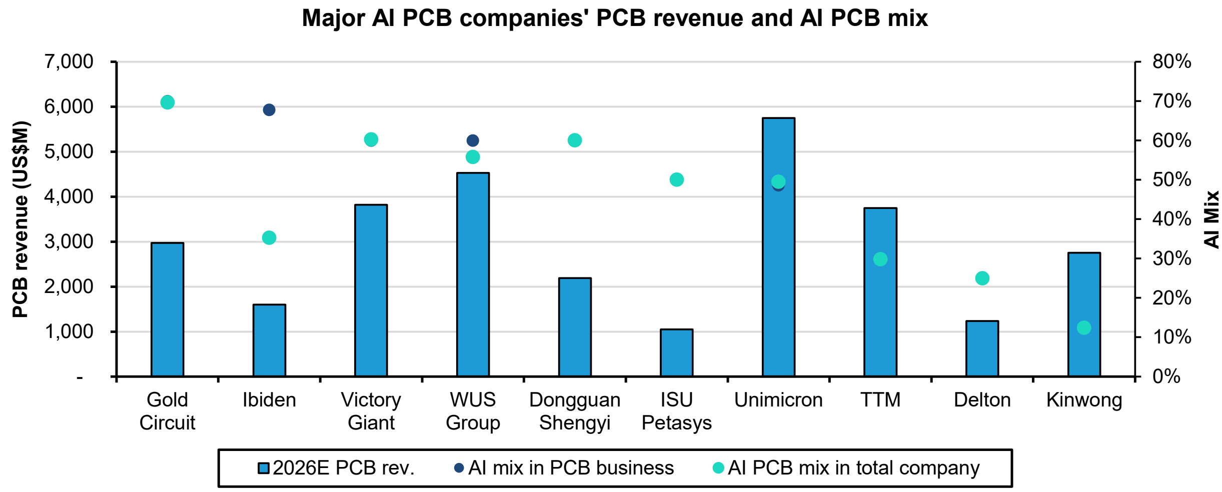
EXHIBIT 1: **Summary of major PCB/HDI/substrate suppliers with AI exposure**

	PCB			
	RPCB	HDI	IC Substrate	FPC+SMA
As % of total PCB market (2026E)	49%	19%	19%	14%
Delton	★			
Dongshan Precision	★	○		○
Gold Circuit	★			○
Ibiden	○		★	○
ISU	★			
Kinsus			★	
Nan Ya PCB	○		★	
SEMCO			★	
Shengyi Electronics	★			
TTM	★			
Unimicron	○	★	★	○
Victory Giant	○	★		
WUS Group	★			
Zhen Ding	○		○	★

○ Industry exposure; ★ Major business

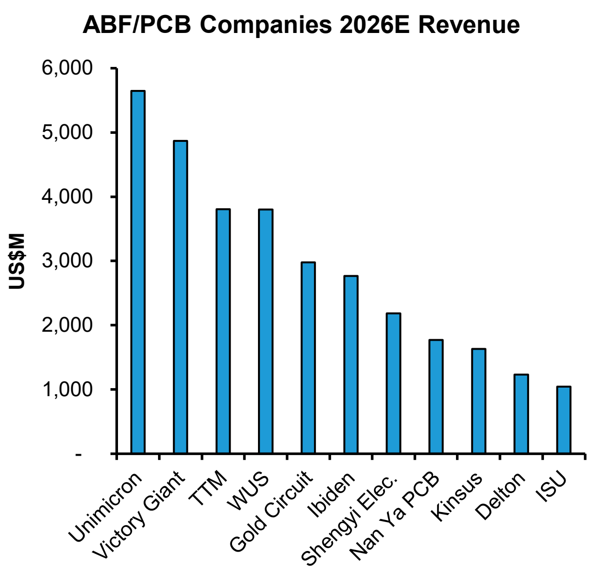
Source: Company reports, Prismark estimates of PCB market %, Bernstein analysis

EXHIBIT 2: **PCB revenue of major companies and AI PCB mix (2026E)**



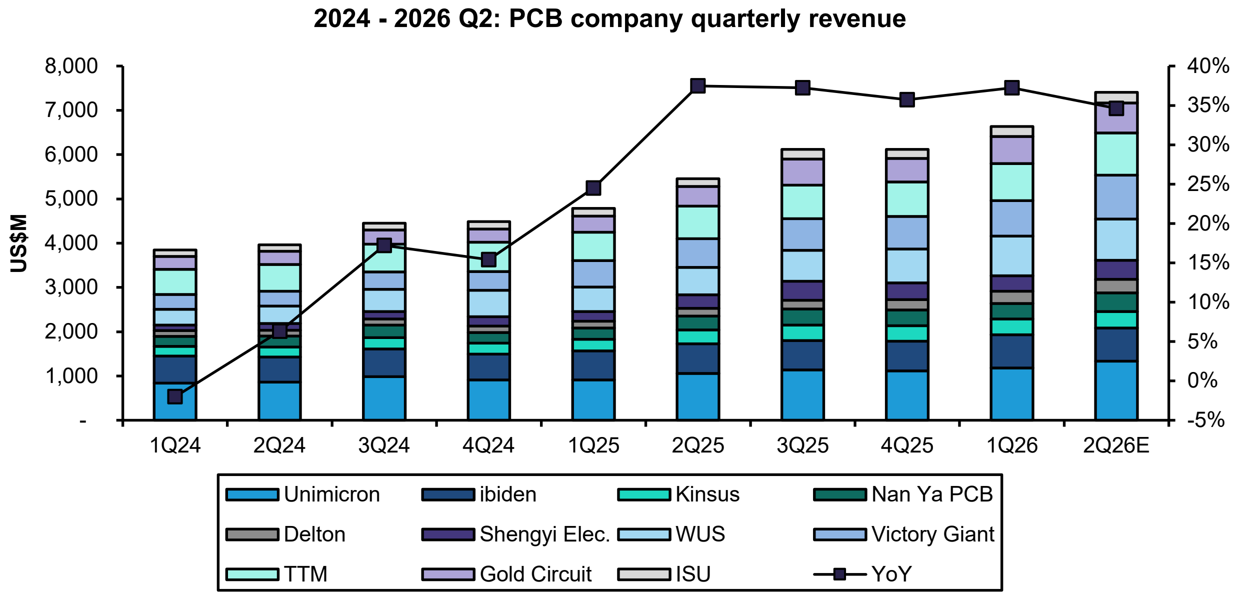
Source: Source: Prismark, Bernstein analysis and estimates

EXHIBIT 3: **Bloomberg consensus revenue ranking for PCB companies (2026E)**



Source: Bloomberg, Bernstein analysis

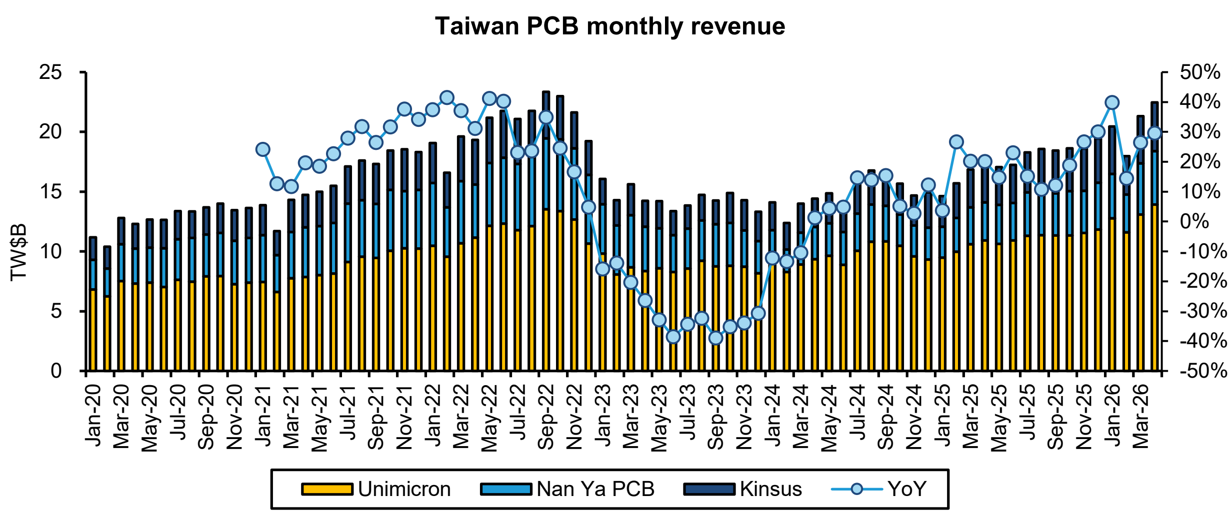
EXHIBIT 4: **Quarterly revenue of PCB companies has been trending up since 2H 2024**



Delton is incl. in YoY calculation starting from 1Q25, as it did not disclose financials for 2023

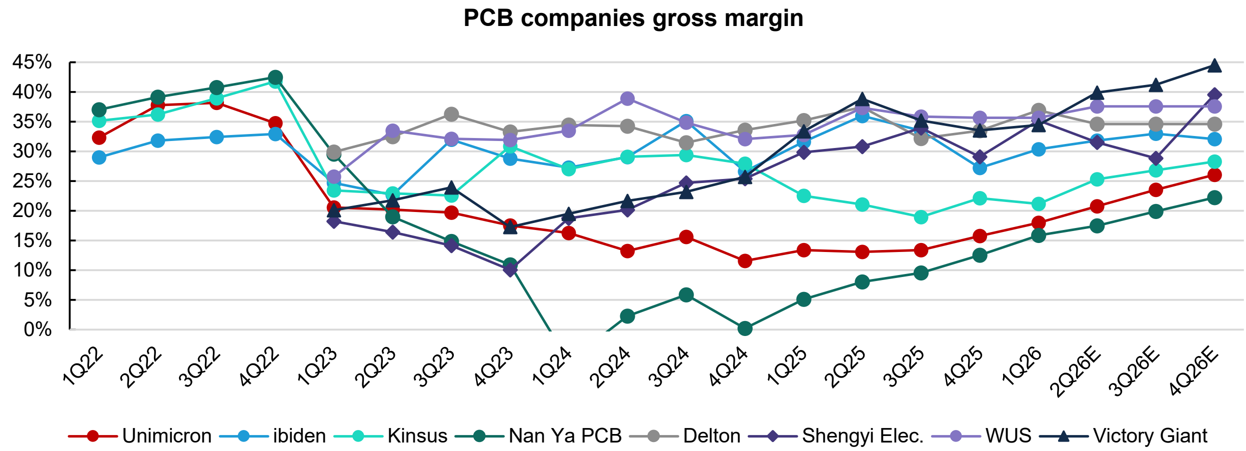
Source: Bloomberg and Bernstein analysis

EXHIBIT 5: **Taiwan PCB companies' monthly sales are trending higher in recent months**



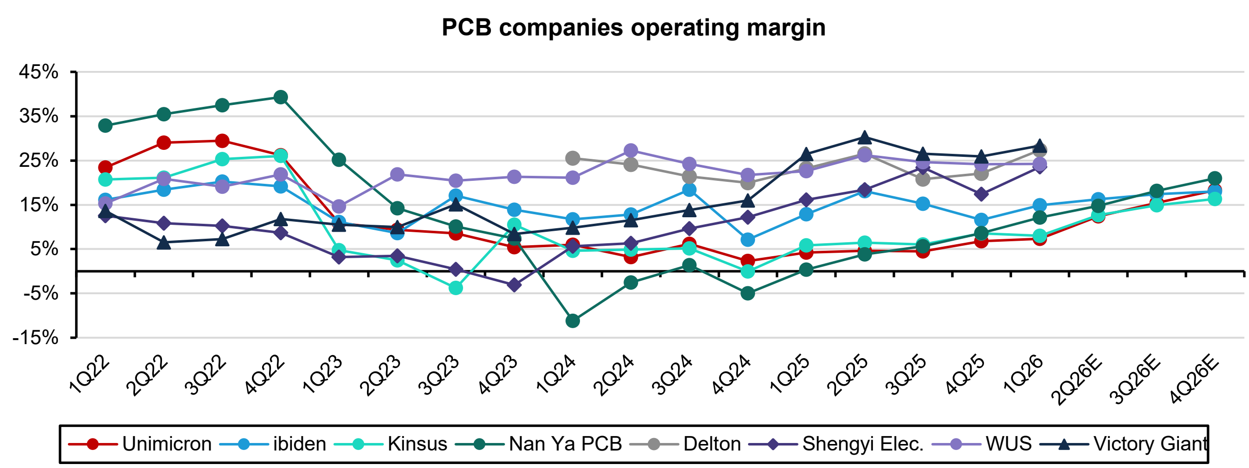
Source: Company disclosure, Bloomberg, Bernstein analysis

EXHIBIT 6: **Consensus forecasts all PCB companies' GM to see sequential growth in 2026**



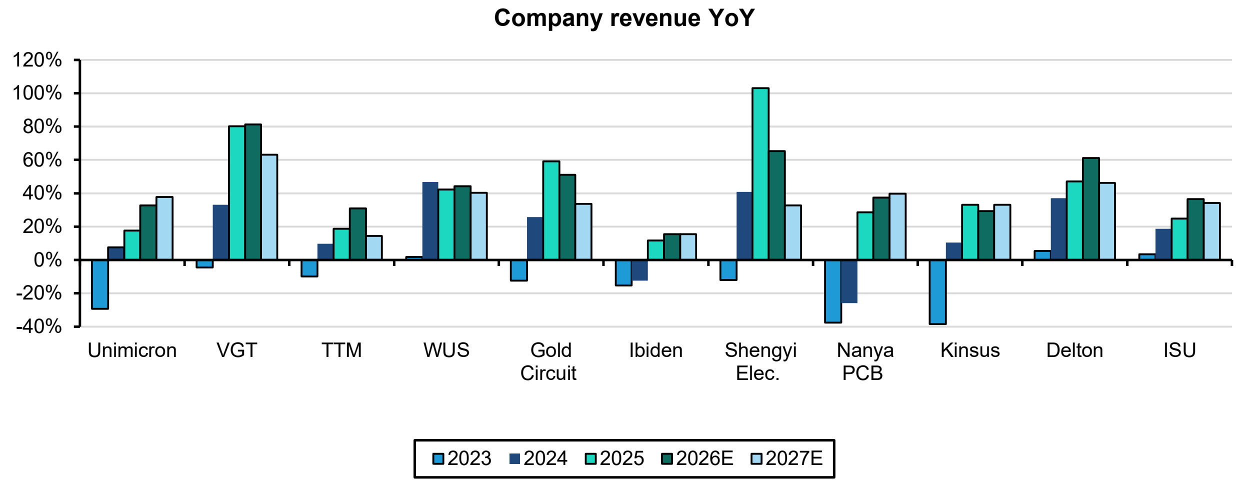
All forecasts are from Bloomberg consensus; Delton data starts from 2024
Source: Bloomberg, Bernstein analysis

EXHIBIT 7: **...same for OPM**



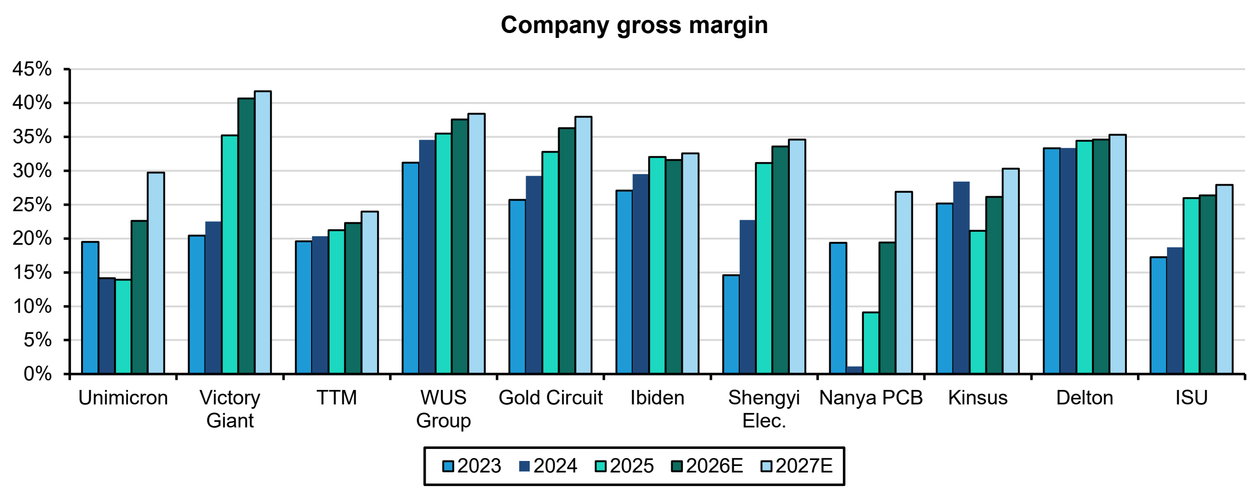
All forecasts are from Bloomberg consensus; Delton data starts from 2024
Source: Bloomberg, Bernstein analysis

EXHIBIT 8: **All PCB/ABF companies are expected to see high revenue growth in 2026-27**



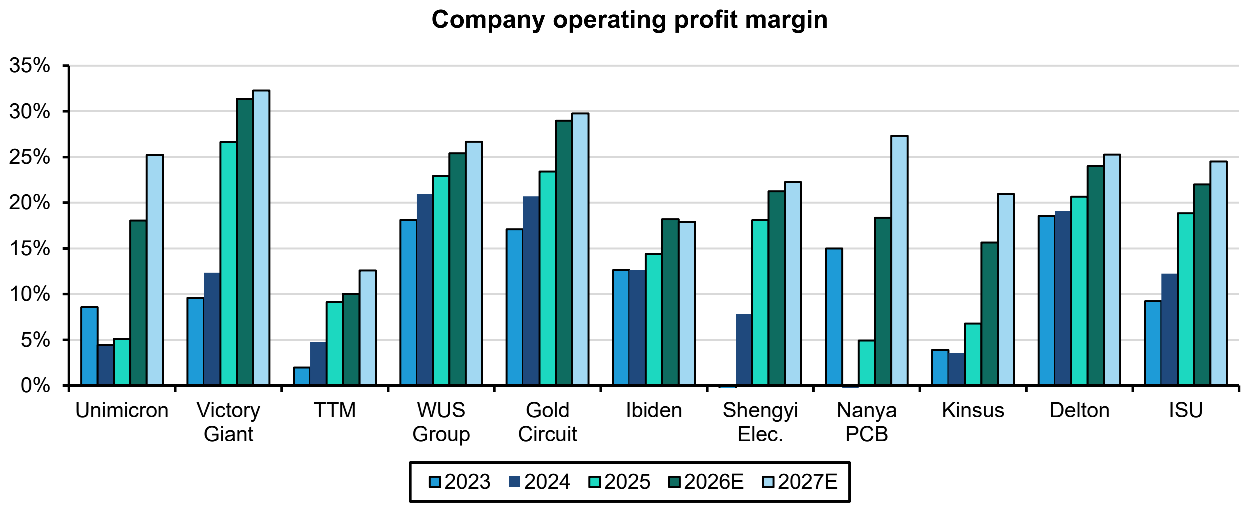
All forecasts are from Bloomberg consensus, adjusted to calendar year
Source: Bloomberg, Bernstein analysis

EXHIBIT 9: **Most AI PCB companies saw meaningful gross margin expansion last year, and consensus expects most of them to see sequential growth in 2026-27E...**



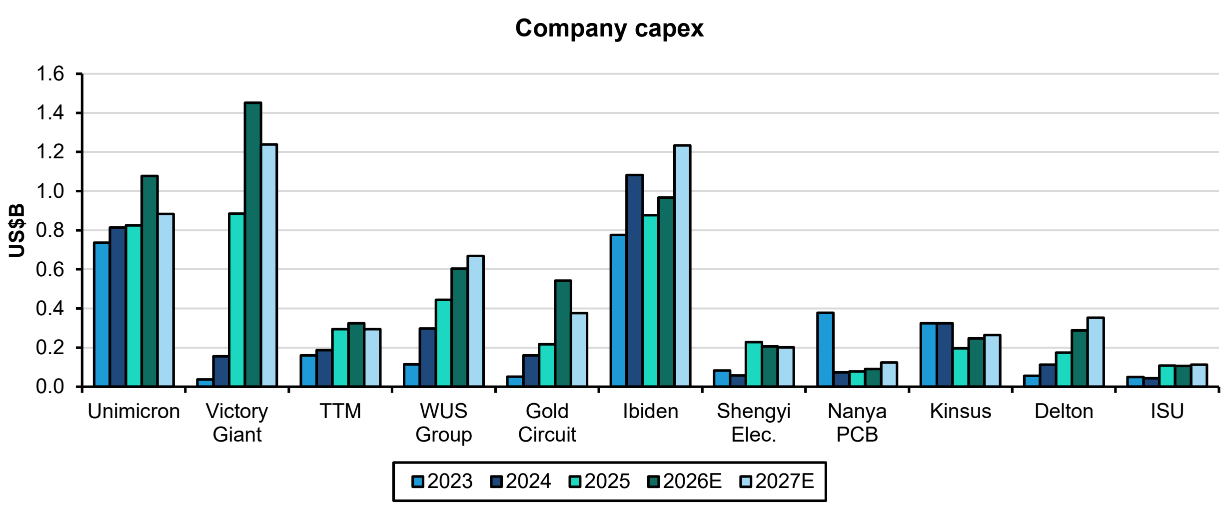
All forecasts are from Bloomberg consensus, adjusted to calendar year
Source: Bloomberg, Bernstein analysis

FIGURE 1: **...similarly for operating margin**

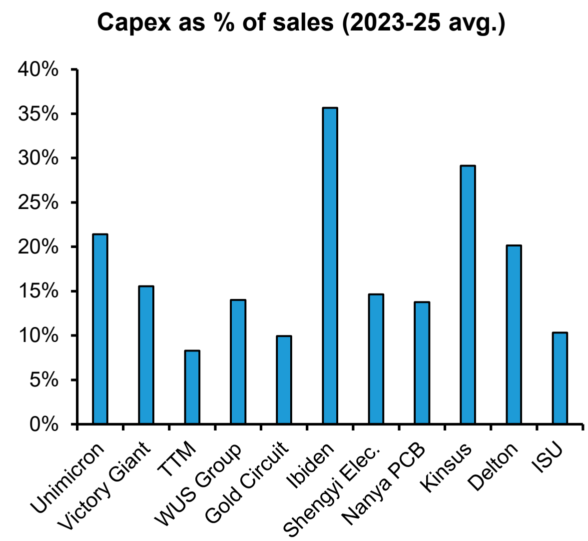


All forecasts are from Bloomberg consensus, adjusted to calendar year
Source: Bloomberg, Bernstein analysis

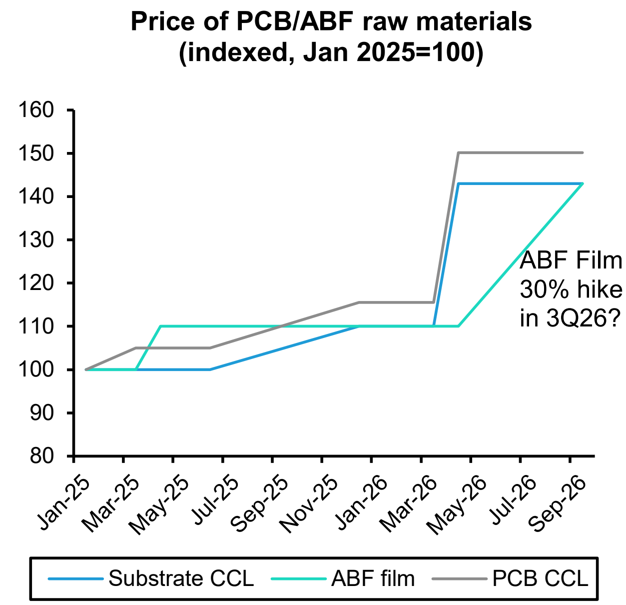
EXHIBIT 10: **Multiple PCB companies have adjusted up their capex in 2026-27E to meet booming AI demand**



All forecasts are from Bloomberg consensus, adjusted to calendar year
Source: Bloomberg, Bernstein analysis

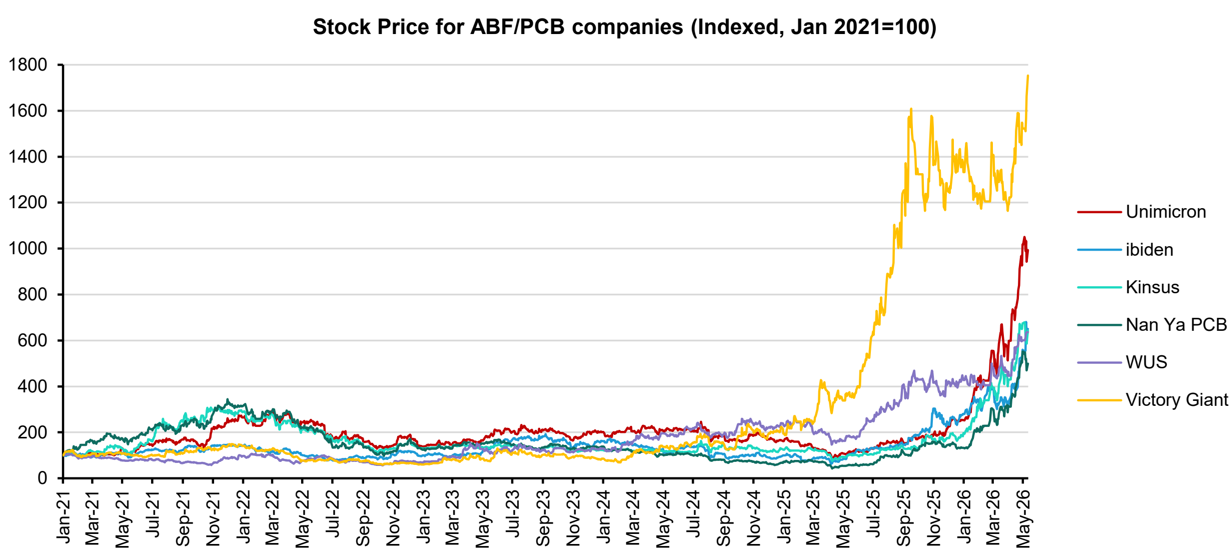


All forecasts are from Bloomberg consensus, adjusted to calendar year
Source: Bloomberg, Bernstein analysis



Source: Digitimes, Bernstein analysis

EXHIBIT 12: **ABF/PCB companies' stock prices soared amid the rising AI demand**



Source: Bloomberg, Bernstein analysis

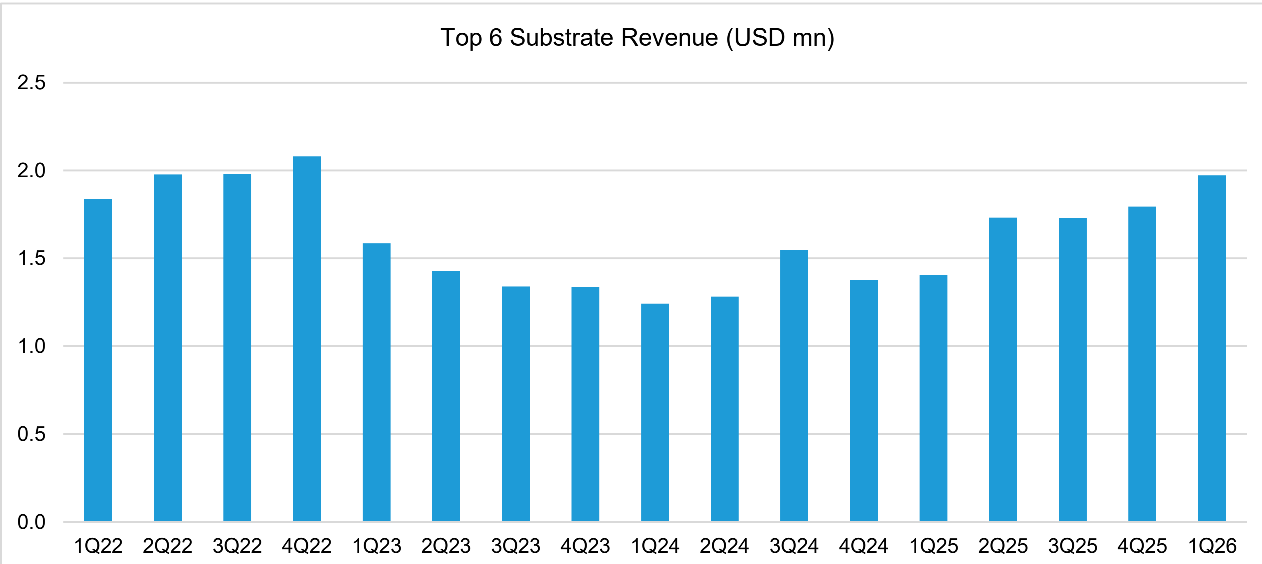
ABF SUBSTRATE

ABF substrate revenue is about to surpass 2022 peak. Top 6 companies ABF revenue in 1Q26 is now at 2Q/3Q22 level, and is very close to 4Q22 peak. Growth rate has reached 40% YoY (Exhibit 13, Exhibit 14). We anticipate strong growth ahead as driven by the volume and price increases.

ABF substrate players are accelerating capacity expansion as AI demand visibility improves. Unimicron guided NT$34bn capex for 2026, with long-term equipment purchase order of NT$14.1bn. Management has guided to increase ABF substrate capacity by 40% Yoy in end-2026 though across different sites, and ramp up 2nd site in KF and 2nd site in Yangmei in 2H27 and 2028 respectively. **Ibiden** guided FY27/3E capex of ¥210bn, representing 40%+ of its ¥500bn three-year capex plan for the substrates business over FY27/3E-FY29/3E. **Kinsus** plans to invest ~NT$23.5bn over 2026-28 to expand ABF substrate capacity, and 2026 capex is set at ~NT$7-8bn. The 1st phase of Yangmei K6 site will help company's AI revenue mix up from 5-10% last year to 10-15% this year. The 2nd phase will come online in 2027, increasing monthly capacity by ~25% to 50m units. The site also retains room for a potential phase-3 expansion post-2028, subject to AI chip demand. **SEMCO** expects its ABF capacity to reach full utilization in 2H26 and has reportedly registered a ~KRW1.8tn (~US$1.4bn) second-phase investment targeting ABF substrates for robotics, autonomous driving, and AI in Vietnam plant. In parallel, it is preparing new ABF production in Busan from 2H26 to support NVIDIA-related demand (reportedly for Nvidia switches).

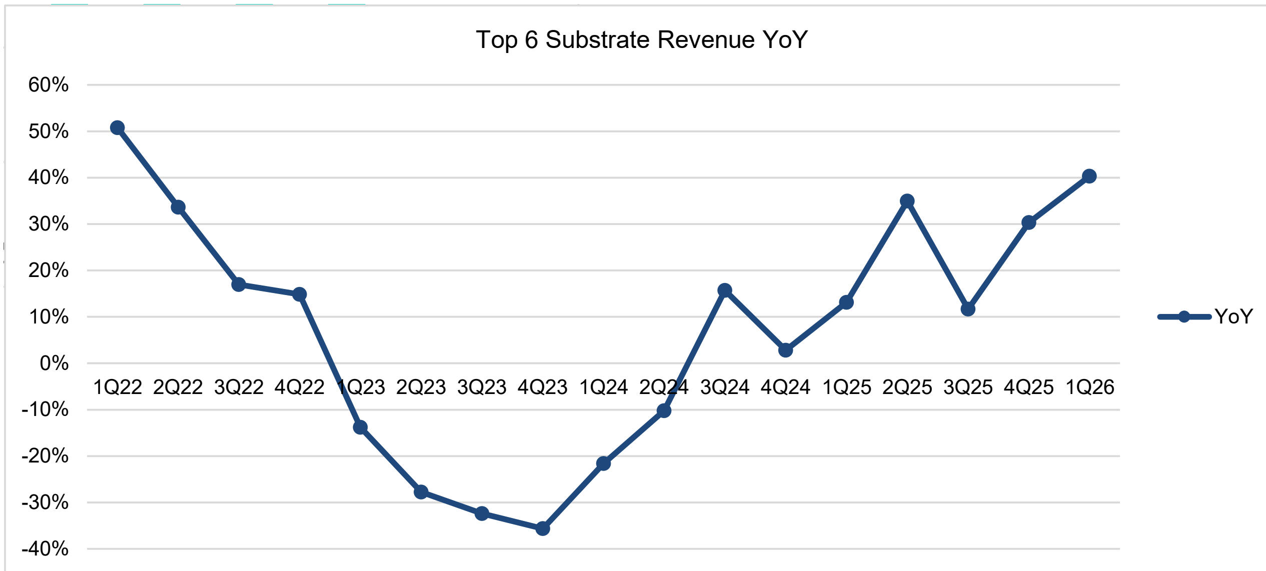
Our channel check suggests that some CPU products have adopted T-glass from second-source suppliers such as Taiwan Glass (1802 TT, not covered) and Taishan Fiberglass (Sinoma subsidiary, 002080 CH, not covered). But we assume only a limited amount of GPU and ASIC will adopt tier-2 suppliers products by the end of this year.

EXHIBIT 13: **Top 6 substrate companies ABF substrate revenue is back to 2Q22 level and is close to the previous peak of 4Q22**



Companies included: Ibiden (OP), Unimicron (OP), Zhen Ding, Nanya PCB, Kinsus, SEMCO (all not covered)
Source: Visible Alpha, Bernstein analysis

EXHIBIT 14: **Top 6 companies ABF substrate YoY reached 40%**



Companies included: Ibiden (OP), Unimicron (OP), Zhen Ding, Nanya PCB, Kinsus, SEMCO (all not covered)
Source: Visible Alpha

EXHIBIT 15: **Substrate Capacity Expansion Plan**

Company	Site	Product	Capacity	Production Start (Calendar Year)
Unimicron	Yangmei site, TW	ABF (Server)	Phase 1 for both YM/GF is 35% of total capacity; phase 2 of both sites will add another 30% of capacity from 2026-2028	2021 (1st phase fully ramp in 2024; 2nd phase starts in 2028)
	Guangfu site, TW	ABF (Server)		End-2024 (1st phase fully ramp in 2025, 2nd phase starts in 2H27)
Ibiden	Ogaki	ABF	Will almost double ibiden's capacity with these investments	Expansion in 2023
	Ono Plant, JP	ABF (Server)		2H25
	Gama Plant, JP	ABF (Server)		2027
Nanya	Shulin, TW (1st Phase)	ABF	Total ABF production capacity: 50M Units/M by End-2023	3Q22
	Shulin, TW (2nd Phase)	ABF (HPC)		3Q23
	Kunshan, CN (2nd Phase)	ABF		3Q22
	Jinxing, TW	ABF		Upgrade in 2Q23-1Q24
Shinko	Chikuma Plant (New)	Flip Chip	Increase capacity by c.50% by 1H25, compared to 2H21	4Q24-1Q25
	Kohoku Plant	Flip Chip		By 1Q24
	Wakaho Plant	Flip Chip		By 1Q24
SEMCO	Vietnam Plant	Flip Chip		Expansion in 2022
	TBD	Flip Chip		Under consideration
Kinsus	Yangmei K6 site, TW	ABF	Increase capacity by c.25% with 2nd phase	1st phase fully ramped, 2nd phase mass production starts in 2027

Source: Company reports, Bernstein analysis

UNIMICRON MODEL UPDATE (OUTPERFORM, PT=NT$990)

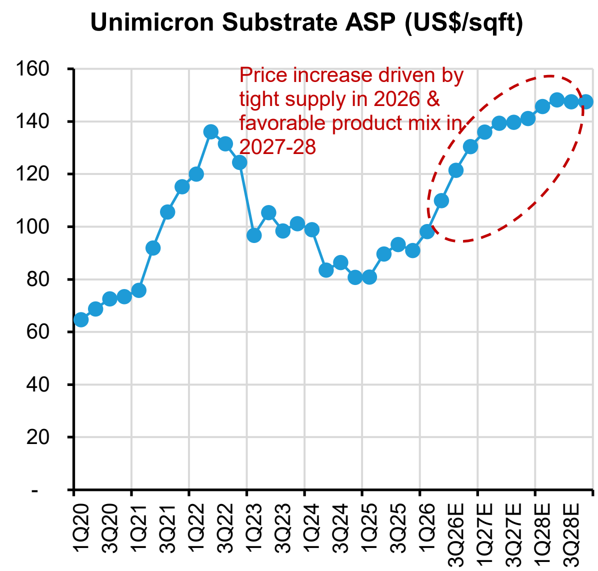
We revise up 2027 revenue and EPS estimates significantly on a favorable product mix, and roll over the model to 2028. Versus our Mar-2026 model, we project 2027 and 2028 revenue growth of 34%/19% YoY respectively, driven by robust demand for AI-related ABF substrates and HDI, and aggressive capacity expansion plan. Near-term, we estimate Unimicron's ABF substrate ASP only risen by 5% in 1Q26, but will accelerate to rise 7-10% every quarter in the remainder of the year (vs. previous forecast of 5–7% every quarter). This is driven by a 30% raw material cost increase starting in 2Q, as well as increasing mix from high-end ABF substrate.

We model AI to represent half of company's revenue in the next few years. Management has guided to increase ABF substrate capacity by 40% Yoy in end-2026 though across different sites, and ramp up 2nd site in KF and 2nd site in Yangmei in 2H27 and 2028 respectively. This supports Unimicron to captures c.35% ABF market share in Nvidia high-end GPUs in this year, along with a 50%+ share for ASIC chips including Google TPU and AWS Trainium. The resurgence of CPU demand will also maintain a high utilization rate in its Yangmei and older ABF sites after capacity expansion in year-end. Yield improvements at Taiwan HDI sites in 2Q-3Q26 should lift AI HDI/PCB revenue by ~50% in 2026 and high-teens in 2027-28.

We forecast a 30% and c.100% revenue and EPS CAGR respectively in 2025-28E. We model EPS to more than triple to NT$14 in 2026, then grow ~80% in 2027 and ~45% in 2028 to NT$36.6 on continued strong AI demand and margin recovery. We maintain our GM estimates c.25% by 4Q26, but lift 2027 GM to 28.6% (reaching 30% by 4Q27). Depreciation will increase every year, but with strong top line growth and better pricing environment, D&A as % of sales is set to maintain <20%. **AI ABF GM will improve to c.40% and HDI GM recover to high-teens by the end of this year, and reach 45% & 30% respectively in longer term.** Our 2026 estimates are in line with consensus, but 2027-28 EPS is below cons. due to more conservative revenue and margin assumptions.

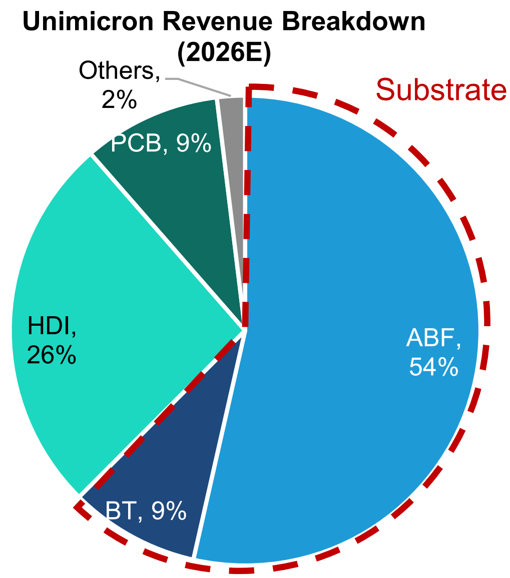
With better demand visibility and strong market position in next-generation of IC substrate (Vera Rubin GPU, CPO, EMIB-T, etc.), we expect Unimicron's GM will approach 2022 peak level by end 2028. We keep our target P/E of 32x P/E and apply that to 2027-28 avg. EPS of NT$30.8 (vs. old 2027 EPS of NT$19.1), setting PT at NT$990 (vs. old NT$610).

EXHIBIT 16: **We expect Unimicron's substrate ASP increase to be driven by tight supply in 2026 & favorable product mix in 2027-28**



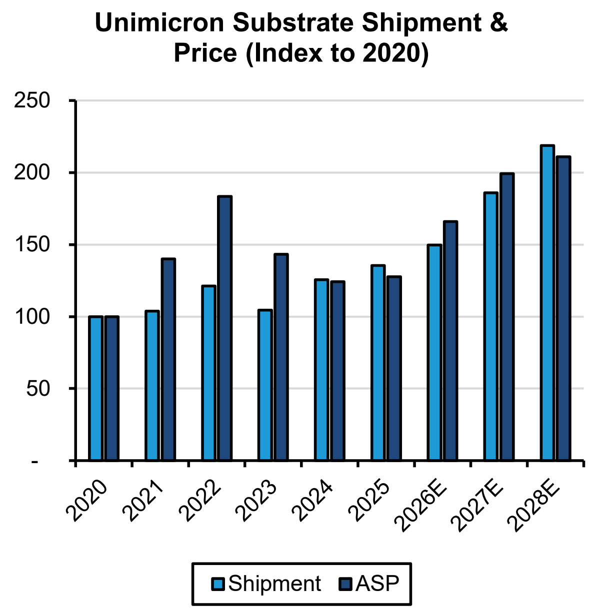
Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 17: **We expect 62% of Unimircon's 2026E revenue to be from IC substate (ABF+BT)**



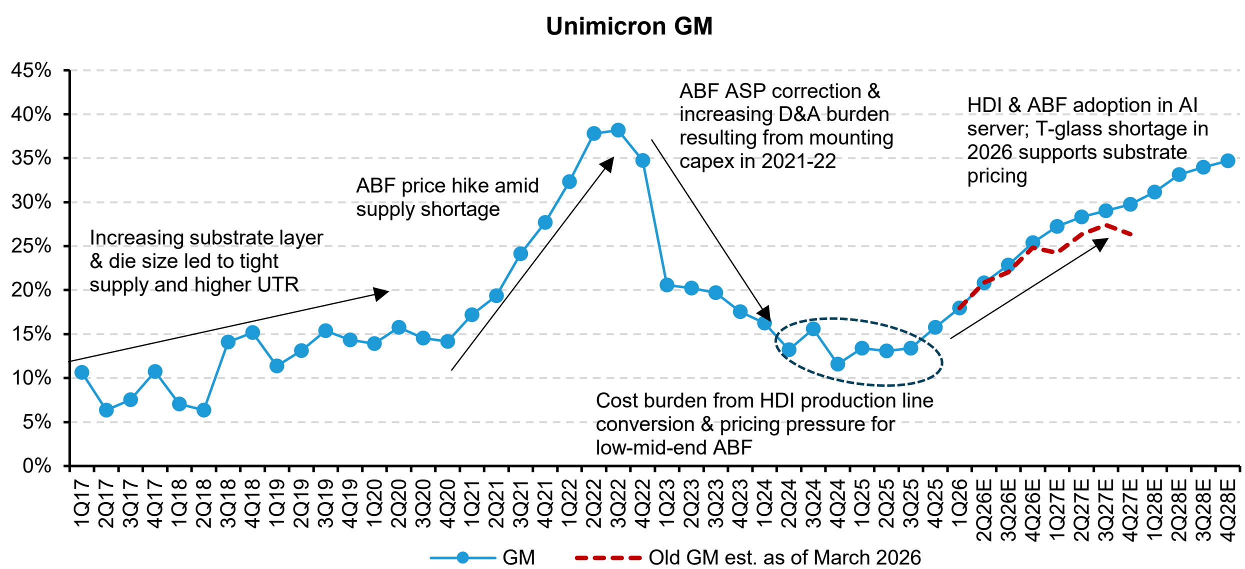
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 18: **We expect substrate ASP to increase amid T-glass shortage**



Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 19: **We expect Unimicron's GM can return above 30% as in the 2022 cycle in 2028**



Source: Company disclosure, Bernstein estimates and analysis

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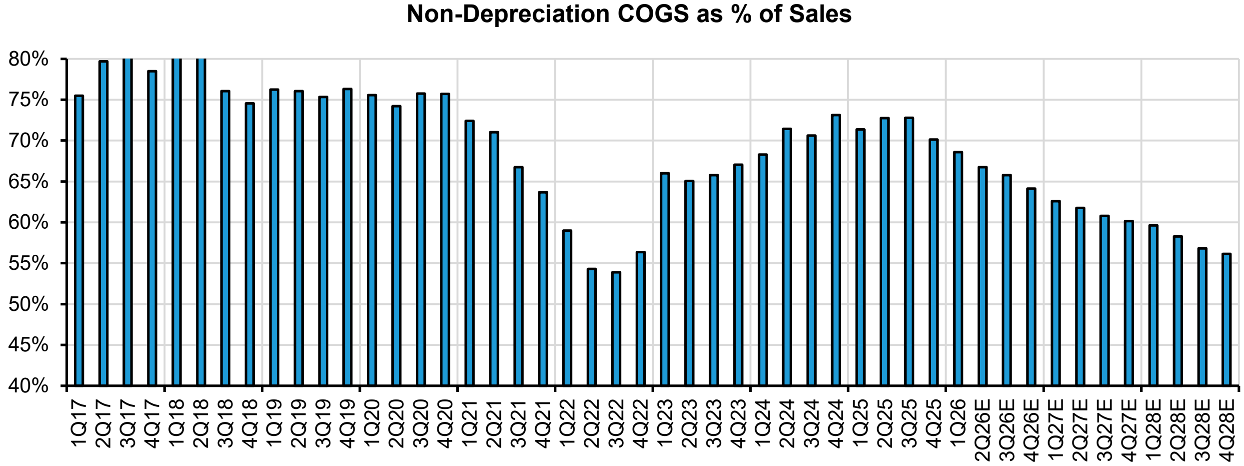
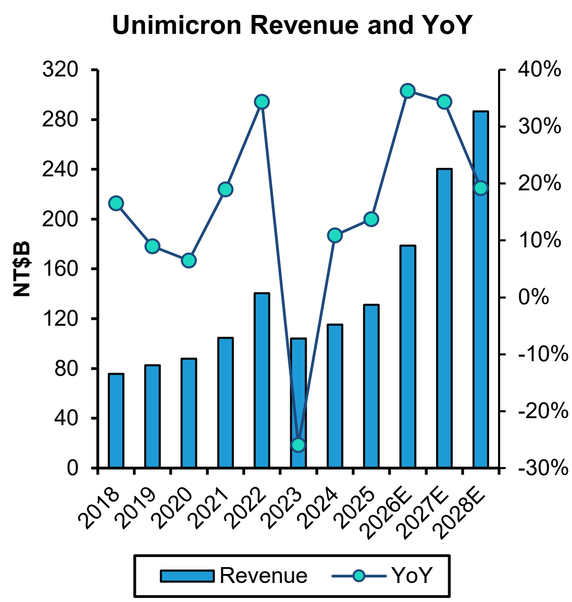
EXHIBIT 20: **We expect non-depreciation COGS to decrease in 2026-28**



Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 21: **We project Unimicron's revenue to grow at 30% CAGR in 2025-28E**



Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 22: **Our 2026 estimates are in line with consensus, but 2027-28 EPS is below cons. due to more conservative revenue and margin assumptions**

Unimicron Comparision Table	2025	2026E	2027E	2028E
Revenue (NT$ B)				
Bernstein Old		167	205	
YoY			23%	
Bernstein	**131**	**179**	**240**	**287**
YoY	**14%**	**36%**	**34%**	**19%**
Consensus		178	245	319
YoY		36%	37%	30%
New vs. old		7%	17%	
BERN vs. consensus		0%	-2%	-10%
GM				
Bernstein Old		21.7%	26.1%	
Bernstein	**13.9%**	**22.1%**	**28.6%**	**33.3%**
Consensus		22.6%	30.0%	36.0%
New vs. old		0.4%	2.5%	33.3%
BERN vs. consensus		-0.5%	-1.3%	-2.8%
OPM				
Bernstein Old		13.2%	17.7%	
Bernstein	5.1%	13.3%	20.3%	24.8%
Consensus		14.0%	22.4%	27.2%
New vs. old		0.1%	2.5%	24.8%
BERN vs. consensus		-0.7%	-2.2%	-2.4%
Diluted EPS (NT$)				
Bernstein Old		11.8	19.1	
YoY			62%	
Bernstein	**4.4**	**14.1**	**25.1**	**36.6**
YoY	31%	222%	79%	46%
Consensus		14.0	28.0	45.6
YoY		302%	101%	63%
New vs. old		19%	31%	
BERN vs. consensus		1%	-10%	-20%

Source: Bloomberg, Company disclosure, Bernstein estimates and analysis

AJINOMOTO

Ajinomoto reported a 42% revenue growth in 4QFY3/26 which beat our estimates by 7%. While operational leverage remained depressed at 1.3x, we expect this to bounce back to ~1.7x from Q1 onward, with revenue growth to maintain at a ~30% run rate (Exhibit 23). Their guidance for FY3/27 Functional Materials division is conservative (at +11% for both revenue and profit lines) but they have always been conservative at the beginning of fiscal year (FY3/26 initial guidance is +11/8% for revenue and business profit, raised to +28/31% at H1 and arrived at +32/36% for the full year).

With the results release Ajinomoto also announced a capacity expansion plan for ABF film, building a 3rd factory in Japan, as they expect the increases in substrate area size and layers to continue into 2031 onward. Also the new location is 330km away from

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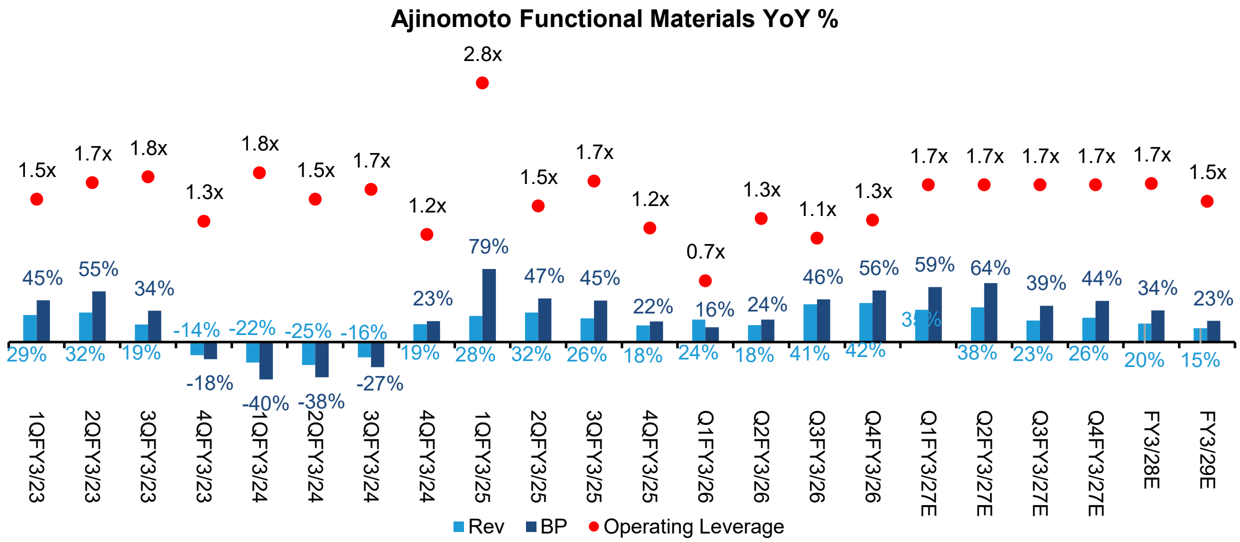
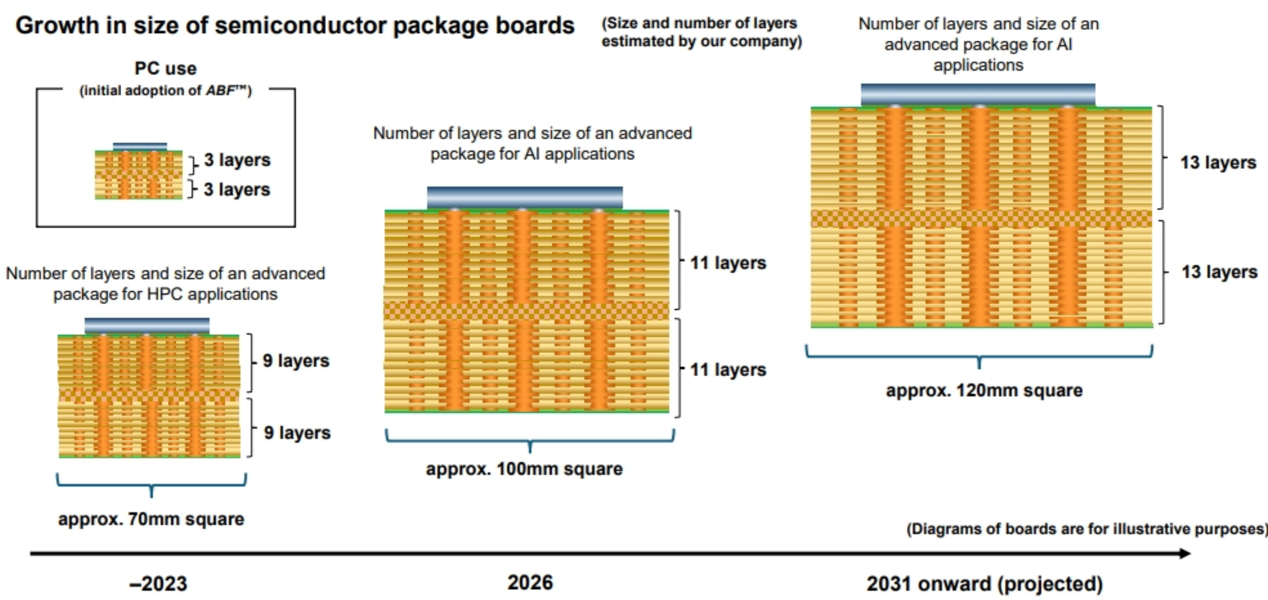
their current Gunma plant (Exhibit 25), as they continue to pursue Business Continuity Planning.

EXHIBIT 23: **Ajinomoto reported a 42% revenue growth in 4QFY3/26 while operational leverage remained depressed at 1.3x. We expect this to bounce back to ~1.7x from Q1 onward, with revenue growth to maintain at a ~30% run rate**



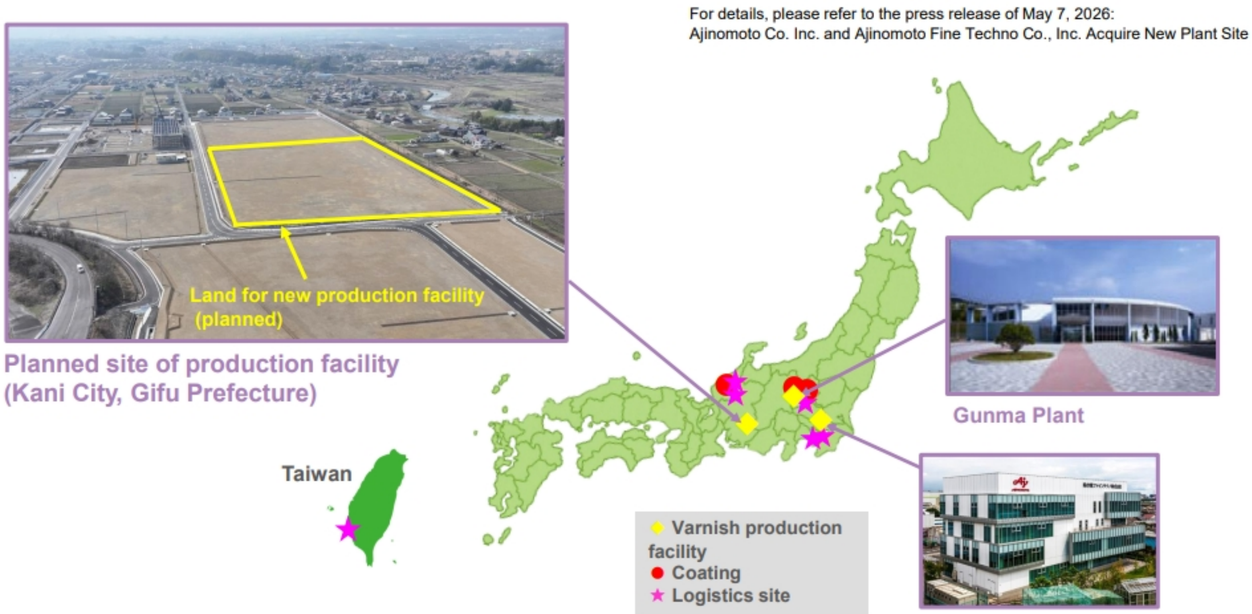
Source: company reports, Bernstein analysis and estimates

EXHIBIT 24: **Ajinomoto expects another wave of substrate area expansion to arrive around 2031 with incremental layers added as well**



Source: company presentation

EXHIBIT 25: **As a result Ajinomoto is planning their 3rd ABF film factory with construction to start in 2 years' time**



Source: company presentation

See [Ajinomoto Q4: Solid print, but disappointing guidance asks more questions than it answers]() for more details. **[Click here to register for our fireside chat with CEO Nakamura on May 27th.]()**

APPENDIX - FINANCIAL FORECASTS

TWD in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Income Statement							
Net Sales	140,489	104,036	115,373	131,241	178,858	240,371	286,508
Gross Profit	50,433	20,302	16,315	18,292	39,540	68,763	95,290
SG&A Expense	6,478	6,554	6,222	6,783	9,027	11,030	12,893
R&D Expense	5,887	4,923	5,043	4,999	6,855	9,145	11,460
EBIT	38,172	8,920	5,117	6,674	23,754	48,684	71,033
EBITDA	49,899	24,017	22,347	25,447	44,820	72,954	97,012
Non-operating Income	1,703	6,655	2,204	2,153	4,509	1,610	2,291
Pretax Income	39,875	15,575	7,321	8,827	28,264	50,294	73,324
Tax	8,649	3,350	1,765	1,277	5,531	10,562	15,398
Net Income	29,619	11,980	5,082	6,673	21,701	38,739	56,477
Earnings Per Share (TWD) (Diluted)	19.7	7.8	3.3	4.4	14.1	25.1	36.6
Margin Analysis							
Gross Profit	35.9%	19.5%	14.1%	13.9%	22.1%	28.6%	33.3%
EBIT	27.2%	8.6%	4.4%	5.1%	13.3%	20.3%	24.8%
Net Income	21.1%	11.5%	4.4%	5.1%	12.1%	16.1%	19.7%
Sequential Growth							
Net Sales	34.4%	-25.9%	10.9%	13.8%	36.3%	34.4%	19.2%
EBIT	189.8%	-76.6%	-42.6%	30.4%	255.9%	104.9%	45.9%
Net Income	124.0%	-59.6%	-57.6%	31.3%	225.2%	78.5%	45.8%
Earnings Per Share	120.0%	-60.2%	-57.5%	31.2%	222.4%	78.5%	45.8%
Balance Sheet							
Cash and Cash Equivalents	61,459	52,859	43,753	54,872	67,627	91,441	132,689
Accounts Receivable	28,750	18,567	23,617	27,570	34,901	41,055	47,767
Inventory	12,835	10,927	14,863	17,802	22,474	24,890	26,914
Net Fixed Assets	94,122	109,483	120,536	125,866	137,459	144,016	140,547
Total Assets	218,663	216,006	230,847	255,792	296,146	335,261	382,160
Accounts Payable	5,552	5,726	11,019	10,562	17,306	20,357	23,686
Total Debt	23,629	19,388	32,780	46,225	49,825	53,464	54,481
Total Equity	92,658	96,284	99,587	107,007	131,154	161,121	201,614
				42%			
Cash Flow							
Cash Flow From Operations	61,082	30,900	10,294	14,967	34,932	58,029	77,256
Cash Flow From Investments	(33,396)	(21,099)	(29,230)	(23,018)	(27,808)	(28,088)	(19,592)
Cash Flow From Financing	(4,831)	(18,060)	8,336	19,073	4,879	(6,127)	(16,416)
Capex	(32,073)	(22,938)	(26,128)	(25,617)	(33,757)	(31,139)	(22,921)
FCF	26,353	4,577	(20,609)	(9,892)	3,496	11,761	12,574
As % of EBITDA	53%	19%	-92%	-39%	8%	16%	13%
Key Financial Metrics							
ROE	40.4%	13.6%	5.5%	6.9%	19.1%	27.4%	32.2%
ROA	16.1%	5.6%	2.5%	3.1%	8.2%	12.6%	16.1%
Debt / Equity	25.5%	20.1%	32.9%	43.2%	38.0%	33.2%	27.0%
Net Debt / Equity	-47.8%	-35.4%	-11.2%	-8.4%	-14.9%	-26.0%	-43.1%
Debt / Capital	20.3%	16.8%	24.8%	30.2%	27.5%	24.9%	21.3%
Dividend Per Share (TWD)	3.4	8.0	3.0	1.5	2.1	6.4	11.3
Dividend Payout Ratio	37.9%	41.2%	38.2%	45.2%	47.2%	45.0%	45.0%

Source: Company reports, Bernstein analysis and estimates

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VALUATION METHODOLOGY

Unimicron Technology Corp

We set a NT$990 target price using a P/E multiple of 32X against our 2027-28 avg. EPS of NT$30.8.

Ajinomoto Co Inc

We set a JPY5,100 price target for Ajinomoto using an EV/EBITDA multiple of 14.5x against our forward NTM+1 EBITDA estimate of JPY366b.

Ibiden Co Ltd

We set a ¥9,200 target price using a P/E multiple of 30x against our forward Q5-Q8 EPS estimate of ¥308.

RISKS

Unimicron Technology Corp

Downside risks to our price target for Unimicron include:

- Aggressive ABF capacity expansion among competitors that slow down the ABF market recovery
- Slower-than-expected recovery of HDI yield and gross margin
- Macroeconomic pressure and tariff issue could delay the recovery of smartphones and PCs, impacting the utilization of multiple products at Unimicron

Ajinomoto Co Inc

Potential downside risks to our Price Target for Ajinomoto:

- Natural disaster results in supply chain disruption at single Functional Materials production site
- Entry of a new Build Up Film competitor / near term significant capacity expansion by existing competitor Sekisui
- IC packaging substrate technology advances reduce requirement for thermal barriers like ABF
- Competition from Chinese MSG producers spreads from B2B to branded products
- Value destructive M&A in Healthcare

Potential upside risks to our Price Target for Ajinomoto:

- AI-related ABF demand and / of pricing materially accelerates
- Widespread commercial adoption of ABF-RCC for mobile phone board composition and / or Aftinova magnetic materials adoption in chip cathode construction
- Acceleration in ASEA economic growth and middle class spending drives accelerated Asian S&F mix enhancement
- CDMO revenue growth accelerates and margins return to previous DD levels and
- Improved pipeline of structural reforms across divisions which materially enhance margin and ROIC

Ibiden Co Ltd

There are a number of downside risks to our Ibiden target price. (1) Potential continuation of overall pricing pressure with industry level oversupply, (2) Potential expedited share loss in Nvidia's products, (3) More than expected capex burden and hence higher depreciation drag.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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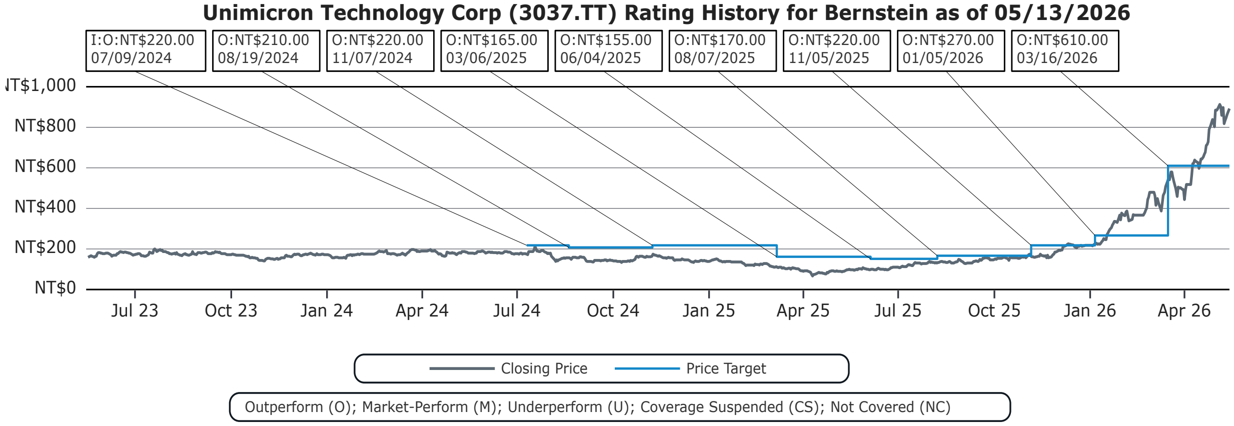
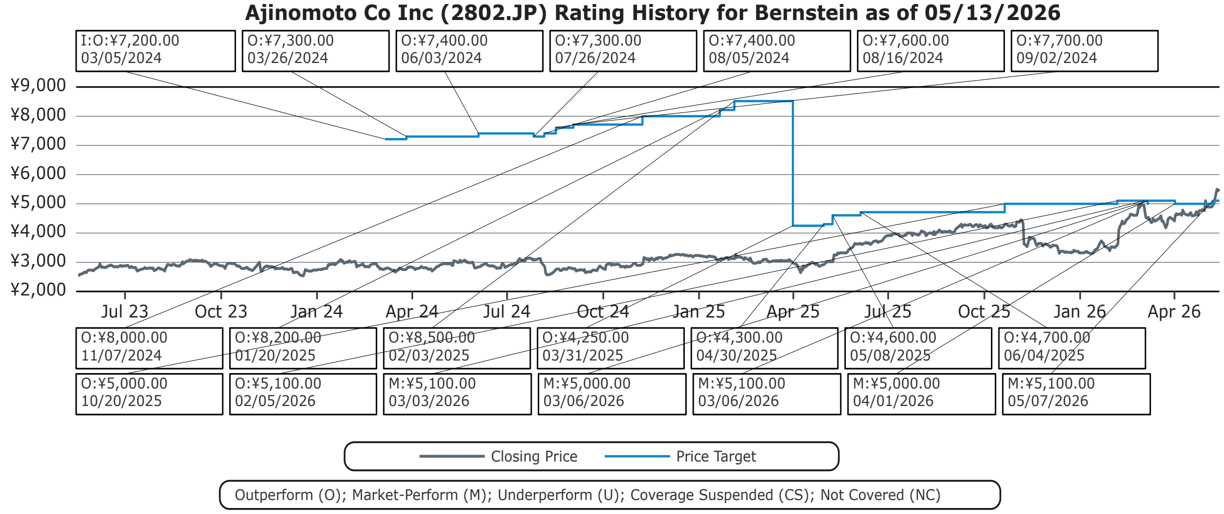
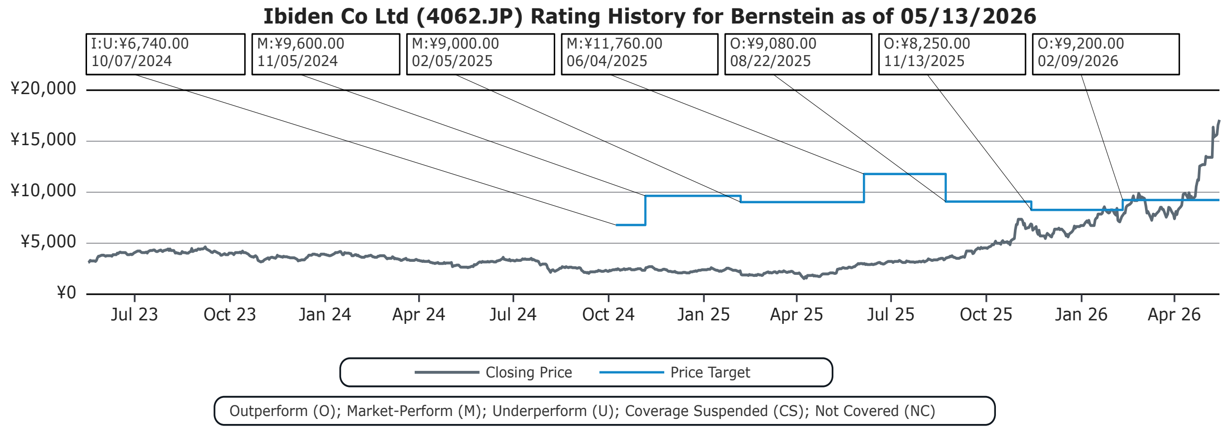


Ajinomoto Co Inc (2802.JP) Rating History for Bernstein as of 05/13/2026





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